

- Overseeing family property management.
- Resolving family conflicts.
- Managing the strategic and tactical goals of the family enterprise.
- Organizing activities that strengthen family bonds.
- Formulating policies for family members working in the family business.
- Formulating policies regarding inclusion or exclusion of spouses.

Family Council meetings need to get “buy-in” from all of the members of your family. They must respect—and act on—its decisions. You need to make sure the decisions of the Family Council cannot be bypassed. That doesn’t mean you need to have consensus on every issue. But important issues—such as the disposition of family wealth—should be based on persuasion and consensus, not a majority vote. This makes a Family Council, typically, a very conservative institution. Major changes should only be made slowly and reluctantly. Each one may require long periods of consensus building.

But that is as it should be. The role of the Family Council is to preserve the family and its money. It cannot afford to act hastily or to ignore the opinions of family members. It must move like a big ship: slowly, deliberately, and with all hands onboard.

Of course, the wealth creator—as long as he is alive—deserves special consideration. Family members should feel a sense of gratitude, if nothing else. But if the wealth creator is smart, he will treat his wealth as bounty from heaven, to be shared with the rest of the family, rather than his own personal property. That is, of course, the whole point: to transform personal money into family money.

The wealth creator should begin the process by sharing his wealth-management responsibilities with the Family Council. It will have to make important decisions after the wealth creator has passed on, anyway. Better to give it some practice while he is still on the job.

You should try to make the Family Council as “official” as possible. It should not be seen as just an artificial appendage of the wealth creator or a ruse by which he tries to get the rest of the family to do what he wants. Distribute an agenda ahead of meetings. Make sure council members have an opportunity to add to the agenda. Make sure they are prepared in